CASE STUDY BRIEF

AI-enabled Due Diligence Acceleration for a Mid-Market Acquisition

Reducing diligence timelines and improving risk visibility during a live deal

FOCUS

Mid-market M&A (£100–250m revenue target)

HORIZON

4–8 weeks (live deal cycle)

APPROACH

Combination of deal-room documents and structured client data; rapid deployment within active transaction timelines

CONTEXT & PROBLEM

Objective

Design a practical AI-enabled approach that can be deployed during an active mid-market acquisition to reduce diligence timelines and improve risk visibility across commercial, operational, and financial workstreams.

Context

Your firm is advising a PE client on the acquisition of a £100–250m revenue services business. The deal team is under pressure to compress diligence timelines without sacrificing rigour. Current processes rely heavily on manual document review, fragmented analyst workflows, and sequential information requests — creating bottlenecks that delay decision-making and increase the risk of missed findings. The team is asking whether AI can realistically help within a live deal cycle — not as a future capability, but as something deployable now.

PROBLEM STATEMENT

The deal team lacks a scalable approach to accelerate due diligence while maintaining (or improving) the quality and completeness of risk identification across commercial, operational, and financial workstreams within compressed deal timelines.

CORE QUESTION

How might the deal team deploy AI capabilities within an active transaction to materially reduce diligence cycle time, surface risks earlier, and improve the consistency and completeness of findings — without introducing unacceptable accuracy or governance risks?

SCOPE & INPUTS

Scope & Constraints

- **Live deal context:** any solution must be deployable within weeks, not months — there is no time for lengthy platform builds or bespoke model training
- **Confidential data:** all inputs sit within secure deal rooms and must be handled under strict information barriers and NDA constraints
- **Imperfect information:** deal-room documents arrive in inconsistent formats, with gaps, contradictions, and varying quality — the system must tolerate messy, incomplete data
- **Human-in-the-loop by design:** AI outputs support analyst and partner judgement — they do not replace sign-off, expert interpretation, or client-facing conclusions
- **Multi-workstream coverage:** the approach must address commercial, operational, and financial diligence — not just one stream in isolation

Illustrative Inputs

Virtual data room documents (contracts, financials, org charts, operational reports, customer data, HR records)

Management presentations and Q&A logs

Information request lists and vendor responses

Prior deal precedent and comparable transaction data

Sector benchmarks and public market information

DILIGENCE BOTTLENECK FRAMEWORK

Illustrative Indicators

Document Volume & Complexity

- Volume of unstructured documents requiring review
- Inconsistency in naming, formatting, and completeness
- Cross-references and dependencies between documents

Information Gaps & Contradictions

- Missing or delayed responses to information requests
- Conflicting data across management packs, financials, and contracts
- Unclear ownership of data quality issues

Repetitive Analytical Tasks

- Manual extraction of key terms, dates, obligations from contracts
- Financial restatement and normalisation across periods
- Identification of non-standard clauses or unusual provisions

Risk Identification Latency

- Findings surfacing late when negotiation leverage is reduced
- Inconsistent risk flagging across workstreams
- Limited cross-workstream visibility (e.g. operational risk with financial impact)

Coordination & Workflow Friction

- Sequential dependencies between workstreams slowing overall timeline
- Manual tracking of open items, follow-ups, and status
- Duplication of effort across analyst teams

SOLUTION DESIGN

What the solution should do

01

Ingest

Rapidly ingest deal-room documents, extract structure, and create a searchable, cross-referenced knowledge base for immediate analyst queries.

02

Extract

Automatically extract and normalise key data points for consistent comparison and analysis.

03

Flag and Prioritise

Identify anomalies, non-standard provisions, data gaps, and risk indicators, prioritised by materiality and investment relevance.

04

Cross-Reference

Link findings across workstreams to surface risks no single stream would catch.

05

Accelerate Reporting

Generate first draft outputs that analysts refine rather than build from scratch, compressing reporting cycles.

06

Audit and Govern

Maintain traceability with confidence indicators, review checkpoints, and escalation paths.

EXPECTED OUTPUTS & SUCCESS CRITERIA

Delivering Faster, Higher-Quality Diligence Under Deal Pressure

Structured Deal Knowledge Base

Searchable deal room repository for faster document retrieval.

Risk & Exception Register

Prioritised risk register with traceability and confidence scores

Accelerated Workstream Outputs

First draft diligence outputs that reduce analyst effort while maintaining quality standards.

Cross Workstream Insight Layer

Connected findings across commercial, operational, and financial streams that surface risks siloed analysis would miss.

SUCCESS METRICS

- Reduced overall diligence cycle time
- Earlier identification of material risks
- Improved consistency & completeness of findings
- Maintained or improved governance & auditability

Shorter deal timelines with clearer risk visibility.